



Senate

General Assembly

File No. 231

February Session, 2026

Substitute Senate Bill No. 447

Senate, March 30, 2026

The Committee on Planning and Development reported through SEN. RAHMAN of the 4th Dist., Chairperson of the Committee on the part of the Senate, that the substitute bill ought to pass.

AN ACT ESTABLISHING A HOMESTEAD PROPERTY TAX EXEMPTION.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

1 Section 1. Section 12-81 of the 2026 supplement to the general statutes
2 is amended by adding subdivision (85) as follows (*Effective from passage*
3 *and applicable to assessment years commencing on or after October 1, 2027*):

4 (NEW) (85) (A) Any dwelling declared to be the primary residence of
5 (i) the owner or owners of such dwelling, or (ii) any person or persons
6 for whom such dwelling is held in trust, in accordance with the
7 provisions of subparagraph (B) of this subdivision, to the amount of fifty
8 thousand dollars of the assessed value of such dwelling.

9 (B) Any owner or owners of a dwelling, or person or persons for
10 whom such dwelling is held in trust, claiming the exemption provided
11 in this subdivision for any assessment year shall, on or before the first
12 day of November in such assessment year, file with the assessor or

13 board of assessors in the municipality in which such dwelling is located
 14 an application claiming such exemption. Such application shall be made
 15 in the manner prescribed and on a form prepared for such purpose by
 16 the Secretary of the Office of Policy and Management, and shall include,
 17 but not be limited to, a declaration that (i) such dwelling is the primary
 18 residence of the applicant or applicants, (ii) the applicant or applicants
 19 have no other primary residence, and (iii) the applicant or applicants
 20 have not claimed the exemption provided in this subdivision for more
 21 than one such dwelling in the same assessment year, and any
 22 documentation the secretary deems necessary to verify such
 23 declaration. The secretary shall make such application available to the
 24 public on the Internet web site of the Office of Policy and Management.
 25 Failure to file such application in the manner and form provided by the
 26 secretary within the time limit prescribed shall constitute a waiver of the
 27 right to such exemption for such assessment year.

28 (C) As used in this subdivision, "dwelling" means a single-family
 29 dwelling, condominium, as defined in section 47-68a, or unit in a
 30 common interest community, as defined in section 47-202.

31 Sec. 2. Section 12-8100 of the 2026 supplement to the general statutes
 32 is repealed. (*Effective October 1, 2027*)

This act shall take effect as follows and shall amend the following sections:		
Section 1	<i>from passage and applicable to assessment years commencing on or after October 1, 2027</i>	12-81(85)
Sec. 2	<i>October 1, 2027</i>	Repealer section

PD Joint Favorable Subst.

The following Fiscal Impact Statement and Bill Analysis are prepared for the benefit of the members of the General Assembly, solely for purposes of information, summarization and explanation and do not represent the intent of the General Assembly or either chamber thereof for any purpose. In general, fiscal impacts are based upon a variety of informational sources, including the analyst's professional knowledge. Whenever applicable, agency data is consulted as part of the analysis, however final products do not necessarily reflect an assessment from any specific department.

OFA Fiscal Note

State Impact: None

Municipal Impact:

Municipalities	Effect	FY 27 \$	FY 28 \$
New Milford	Grand List Expansion	None	See Below
All Municipalities	Grand List Reduction	None	See Below

Explanation

The bill requires municipalities to exempt \$50,000 of assessed value on primary residences that meet certain requirements. This results in a grand list reduction to municipalities beginning in FY 28 that is dependent on the number of qualifying residences.^{1,2}

The bill simultaneously repeals a current optional property tax exemption that allows municipalities to exempt between 5% and 35% of a primary residence that meets certain requirements. New Milford is the only municipality that has implemented this optional exemption at 10% which resulted in a grand list reduction of approximately \$183,070,000. This provision would increase the New Milford grand list by this same

¹ If all owner-occupied housing units were to receive this exemption, the cumulative statewide impact would be approximately \$52,723,567,500 of taxable property. It is expected the actual impact would be lower.

² A grand list reduction results in a revenue loss given a constant mill rate. It is expected a municipality would increase its mill rate to offset any potential revenue loss. For reference a \$50,000 exemption results in a revenue loss of \$1,500 given a mill rate of 30.

amount beginning in FY 28.³

The bill also places various requirements on the Office of Policy and Management which do not result in a fiscal impact.

The Out Years

The annualized ongoing fiscal impact identified above would continue into the future subject to the number of qualifying properties and if other municipalities would have implemented the existing optional property tax exemption.

³ New Milford would see a net decrease of approximately \$98,800,000 in its grand list if the new exemption was enacted and the existing exemption was simultaneously repealed.

OLR Bill Analysis**sSB 447****AN ACT ESTABLISHING A HOMESTEAD PROPERTY TAX EXEMPTION.**

This bill creates a new partial property tax exemption for certain primary residences. It requires municipalities to reduce, by \$50,000, the assessed (taxable) value of these single-family homes, common interest community units, and condominiums that are owned by, or held in trust for, one or more eligible taxpayers.

To be eligible for this exemption, taxpayers must annually file a form with their assessors declaring that (1) the dwelling is their primary residence, (2) they have no other primary residence, and (3) they have not claimed the exemption for any other residence that year. Taxpayers who do not file this form by November 1 are ineligible for the exemption that assessment year. The bill requires the Office of Policy and Management (OPM) to create the form and post it on its website. It allows OPM to require any documents needed to verify information in taxpayers' declaration forms.

Relatedly, the bill eliminates a similar exemption in existing law that municipalities may, but are not required to, provide for certain owner-occupied primary residences. Under this law, municipalities may exempt between 5% and 35% of an eligible property's assessed value.

EFFECTIVE DATE: October 1, 2027, and applicable to assessment years starting on and after that date.

COMMITTEE ACTION

Planning and Development Committee

Joint Favorable Substitute

Yea 14 Nay 7 (03/13/2026)